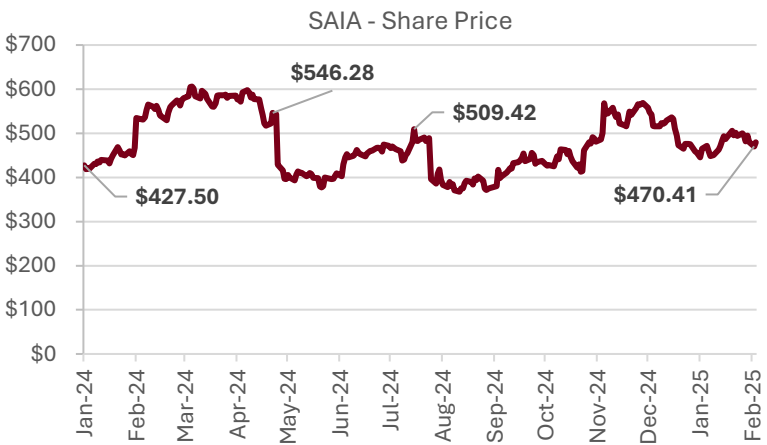


Investment Thesis:

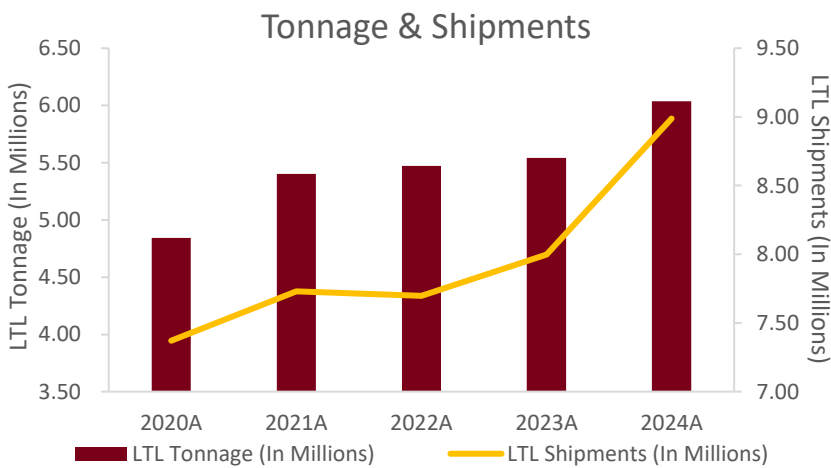
SAIA is a "must-buy" for investors looking to gain exposure to a "trucking safe haven" —**a company going through some short-term discomfort for long-term success.** SAIA is poised to capture significant market share through its ongoing investments in terminals, a fleet of semi-trucks, and, most importantly, its employees.

The macro backdrop for the trucking industry has been timid over the past year, marked by a decline in tonnage, pricing pressure, a movement towards just-in-time inventory management systems, and the weakness in the broader industrial economy. These factors have created pricing and margin headwinds for the LTL industry; though many carriers in the LTL oligopoly have remained resilient, the industry has likely reached a trough, making SAIA a compelling investment. Having made strategic investments during uncertainty, it is now seeing early improvements in key metrics like tonnage and shipments.



Price	\$489.51
Price Target (+12Month)	\$548.20
Market Cap.	\$13.02B
52W High-Low	\$628.34-\$360.57
Q4 Pre-Earnings Outlook	Link
Model	Link

Business Description:



SAIA is a less-than-truckload (LTL) service provider and one of the Top 10 LTL carriers in the U.S., with revenue of \$3.2 billion in FY2024 (a 12% CAGR over the last five years). It operates a network of 214 terminals across 48 states. With over 15,000 employees, 97% of its revenue comes from LTL services, while the remaining 3% comes from value-added services.

The company achieved an operating ratio of 84.8% in FY2024, down by 660 basis points since 2019, demonstrating significant improvements in its operating efficiency, with

more to come.

Tonnage, an important metric, has grown by over 2 million, and revenue per shipment has increased by over \$110 in the last five years.

Historically, debt has accounted for about 5% to 2% of the capital structure¹. In FY2024, SAIA finished a \$1 billion CAPEX plan to strategically relocate some existing terminals, open 21 new terminals, and invest in revenue equipment.

¹The weight of debt is relative to enterprise value, and debt includes both operating and financing leases.
I've provided a Dropbox link for a copy of my model ([Link](#)). Take a look—it's truly the most beautiful thing in the world!

Recommendation: Buy

Price Target: \$548.20

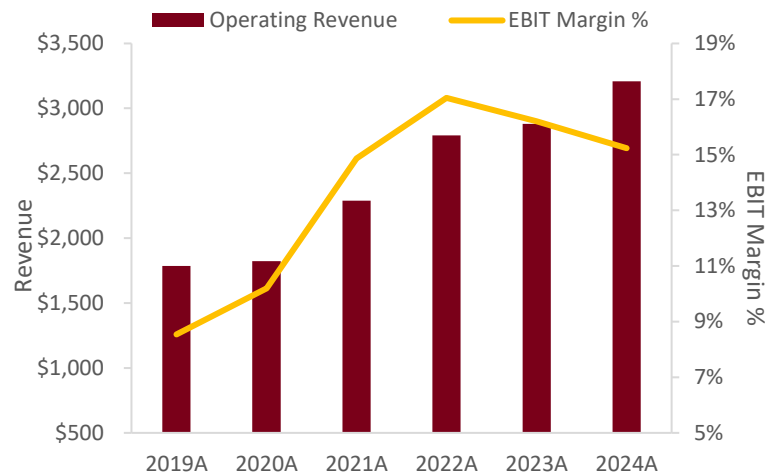
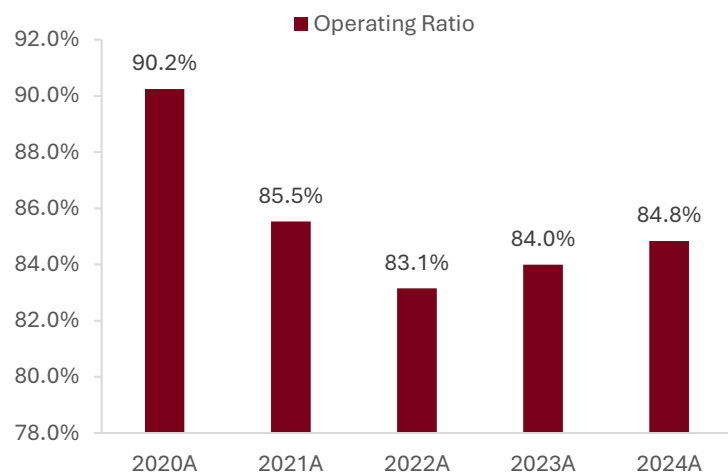
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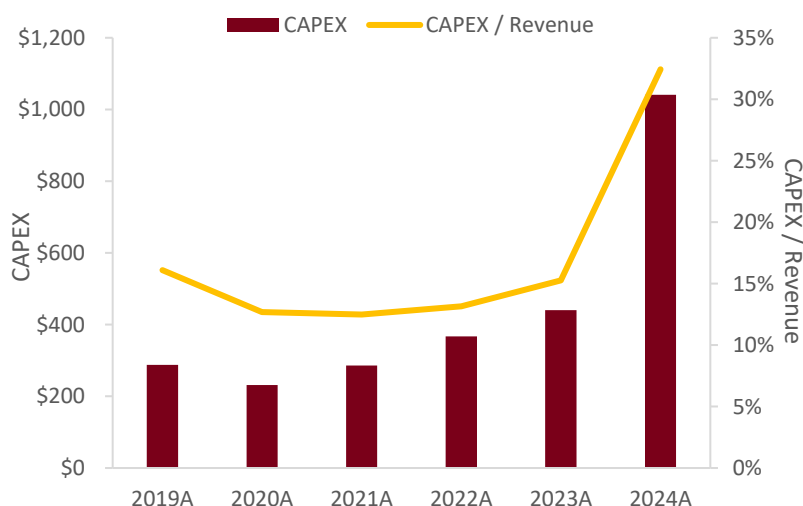


Financial Analysis:

In 2017, SAIA began a significant network expansion, increasing its terminal count from 151 to 214 between 2017 and 2024. This expansion resulted in an operating revenue growth of \$1.8B over those seven years, implying a CAGR of 12.5%. The main drivers of revenue were growth in tonnage and revenue per shipment, coupled with customers becoming more aware of SAIA's broader network footprint.

In addition to the revenue growth, operating margins were significantly improved, leading to an improved operating ratio. This improvement was primarily driven by higher revenue per employee, which reduced salaries and wages as a percentage of sales by 820BPS since 2017 to 46.2% in FY2024. Furthermore, enhanced shipment handling results in decreased claims and insurance costs. Additionally, there was a reduction in purchased transportation costs due to the broader network footprint. These factors combined resulted in an **EBIT margin improvement of 850 BPS** from 2017 to 2024.

Over these seven years, SAIA invested ~\$3B in CAPEX, of which 1/3 was invested in FY 2024. As a result, the company's IC turns started to improve. However, there was a slight deterioration in 2023 and 2024, primarily driven by higher CAPEX as a percentage of revenue and disruptions in the freight industry following the bankruptcy of one of the largest LTL service providers, Yellow.



This led to more customers moving to other LTL service providers that better met their cost/service needs—a trend that is still ongoing. The disruption in the freight industry also changed SAIA's freight mix, creating short-term margin headwinds that impacted ROIC in FY 2023 and 2024. However, a general rate increase created a tailwind for IC Turns in 2023.

All this combined resulted in increased ROIC, demonstrating resilience in the face of macro and microeconomic headwinds, showcasing SAIA's ability to adapt and thrive during uncertain times.

Recommendation: Buy

Price Target: \$548.20

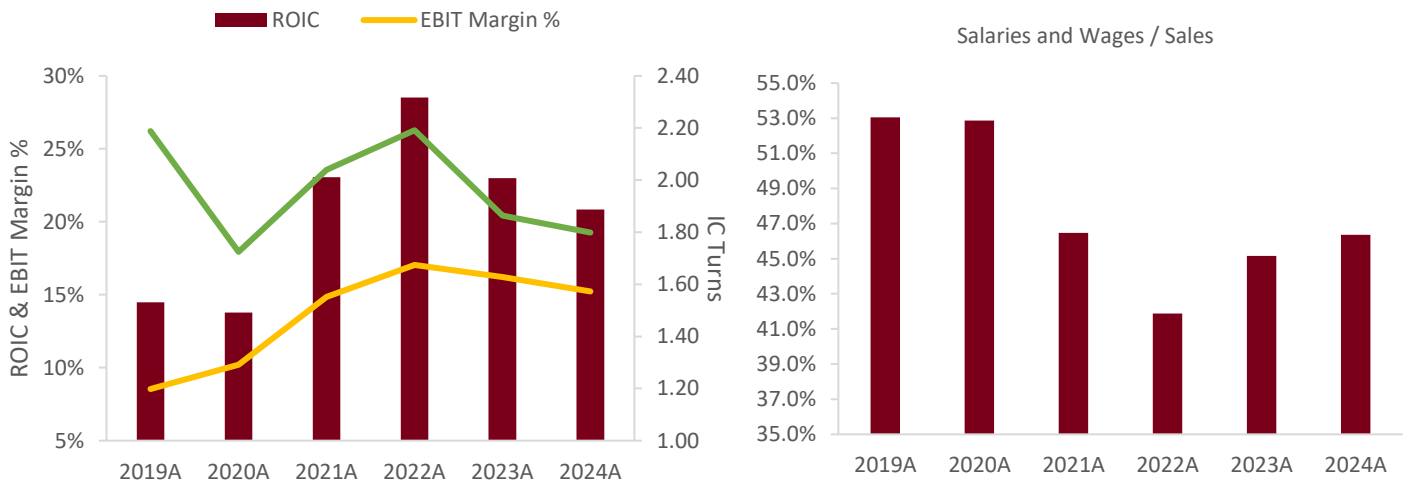
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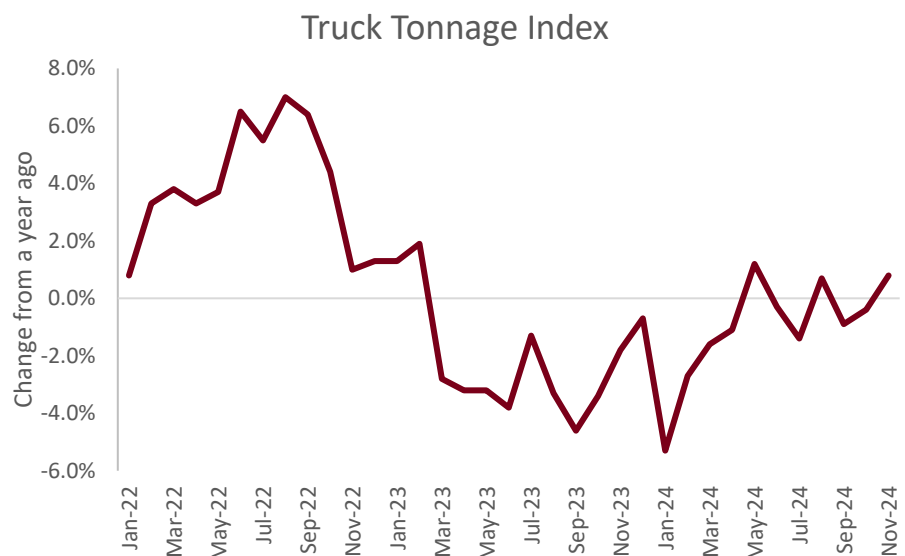
Industry Analysis:

The freight industry has navigated a sluggish macroeconomic backdrop that has impacted key metrics such as tonnage and revenue per shipment, creating pricing pressure and margin headwinds for operating ratios for many LTL carriers.

2024 started with inflation coming in higher than expected and a slight weakness in consumer sentiment that led to the implementation of a just-in-time inventory management system by many big retailers, impacting one of the key metrics -- tonnage. While many of Yellows (one of the biggest LTL carriers that went bankrupt in 2023) customers were still switching from one carrier to another, **many carriers in the LTL oligopoly continued to compete to acquire Yellows assets and market share.** This competition contributed to an increased pricing pressure in the industry and a change in the mix of freight for many carriers.

To compound the difficulties, the broader industrial economy entered a dormant phase, as indicated by the ISM PMI, adding additional pressure to a declined tonnage, as indicated by the Tonnage Index.

By the end of FY2024, many players in the LTL industry already saw some recovery in tonnage as the inflation subsided, and consumer sentiment started to improve. While many carriers have acquired Yellows assets and market share, the new home for this asset and freight still has a long way to go, given the uncertainties regarding inflation, interest rate, the health of the industrial economy, and consumer sentiment. **As we advance, the pricing pressure will ease. However, the industry will likely maintain pricing discipline, following general rate increases as the industry remains competitive in an environment marked by uncertainties and changing freight and customer mix.**



Recommendation: Buy

Price Target: \$548.20

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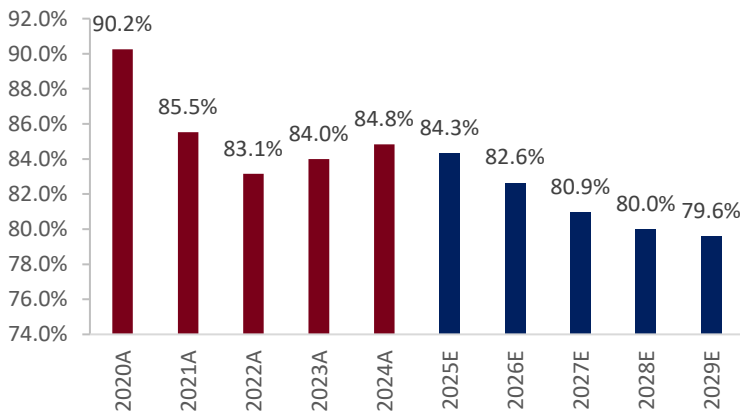
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Valuation Analysis:

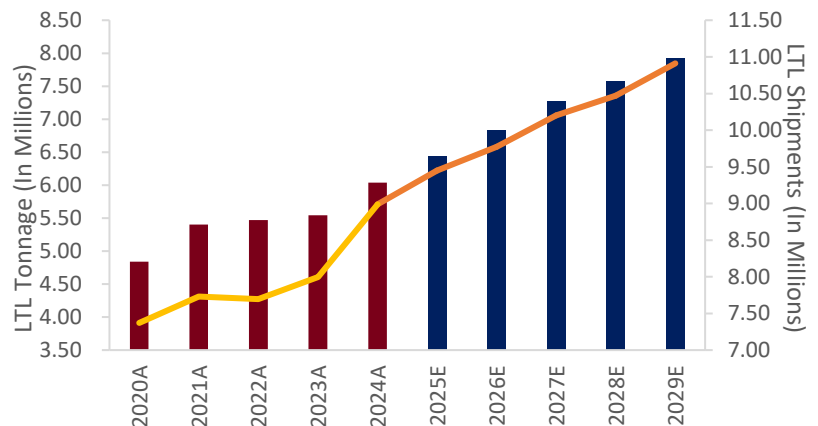
With a hefty CAPEX deployment in 2024, SAIA is well-positioned to capture Yellow's market share and enhance its services, making it one of the most competitive players in the industry. While the investments made in the past year, during an inflationary environment and with higher employee onboarding costs, have created margin headwinds for the company, these investments are expected to drive healthy growth in tonnage, revenue per shipment, and improvements in the operating ratio (OR). As seen in the operating results of Q4 2024, the growth in tonnage remains appealing, although margin headwinds present challenges for the company.

I model a ~100 basis points (BPS) improvement in OR consistently over the next five years, as these strategic investments begin to yield benefits due to the broader network footprint. CAPEX is expected to normalize at historic levels, while IC turns will remain somewhat tight over the next five years due to higher capital deployment, with a gradual increase in productivity.

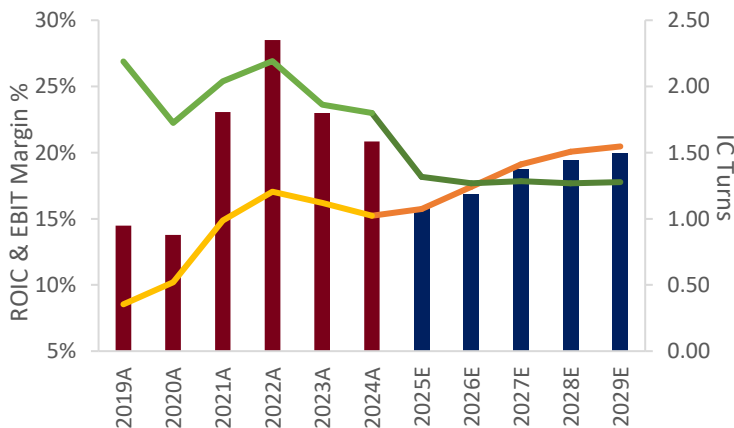
Operating Ratio



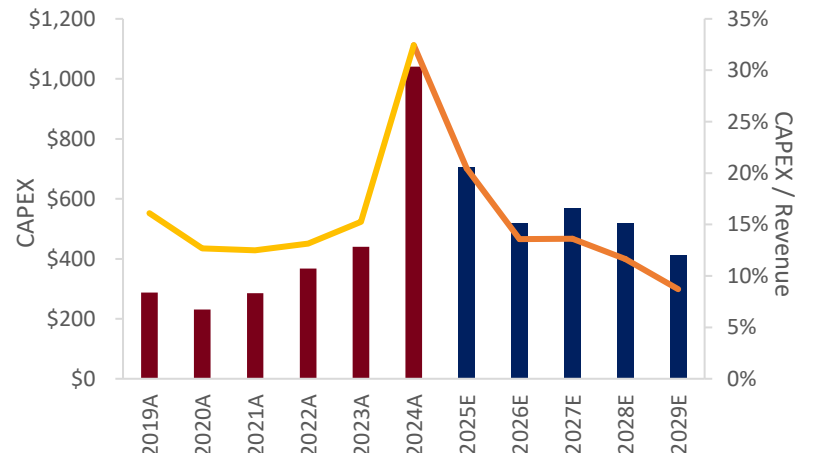
LTL Tonnage (In Millions) LTL Shipments (In Millions)



ROIC EBIT Margin %



CAPEX CAPEX / Revenue



Recommendation: Buy

Price Target: \$548.20

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NASDAQ: SAIA

February 08, 2025

Base Case (Price Target +12 Month: \$548.20):

Estimates (In Millions) Base Case	2024A	2025E	2026E	2027E	2028E	2029E
Revenue (Estimate)	\$3,209	\$3,445	\$3,824	\$4,171	\$4,446	\$4,737
Operating Ratio % (Estimate)	84.8%	84.3%	82.6%	80.9%	80.0%	79.6%
EBIT Margin (Estimate)	15.2%	15.7%	17.4%	19.1%	20.1%	20.5%
IC Turns (Average IC - Estimate)	1.46	1.22	1.22	1.24	1.23	1.26
Tonnage (Estimate)	6.04	6.44	6.82	7.27	7.58	7.91
LTL Revenue Per Hundredweight (Estimate)	\$25.91	\$26.02	\$27.22	\$27.88	\$28.50	\$29.07

The base case assumes a 5-year revenue CAGR of approximately 8.1%, with the EBIT margin improving by about 5.2% over the same period. Revenue is primarily driven by an increase in tonnage and yield, supported by general rate hikes, a dense terminal network, and ongoing investments in employees training aimed at enhancing customer satisfaction and delivering high- quality service. With this service quality SAIA will retain and gain customers but the industry remains competitive, altogether resulting in a slight increase in IC Turns over the next five years. In the terminal year I project the IC returns to historic levels, as ongoing investments and SAIA's track record of successfully justifying their investments provide a compelling foundation for this recovery. The terminal growth rate is assumed to be 3.5%.

Bull Case (Price Target +12 Month: \$564.65):

Estimates (In Millions) Bull Case	2024A	2025E	2026E	2027E	2028E	2029E
Revenue (Estimate)	\$3,209	\$3,465	\$3,857	\$4,241	\$4,578	\$4,911
Operating Ratio % (Estimate)	84.8%	84.7%	82.1%	80.3%	79.5%	78.5%
EBIT Margin (Estimate)	15.2%	15.3%	18.0%	19.7%	20.5%	21.6%
IC Turns (Average IC - Estimate)	1.46	1.23	1.23	1.26	1.27	1.31
Tonnage (Estimate)	6.04	6.46	6.86	7.37	7.78	8.15
LTL Revenue Per Hundredweight (Estimate)	\$25.91	\$26.10	\$27.30	\$27.96	\$28.59	\$29.29

The Bull case assumes a 5-Year revenue CAGR of 8.9%, with the EBIT margin improvement of 6.3% over the same period. The revenue drives remains the same as in the base case. However, the bull case assumes increased pricing leverage and higher margin expansion due to high-quality service and a broader network footprint. The Bulls case also assume that the company is able to optimize the freight mix resulting in an increase in IC turns, low customer attrition while providing opportunity for margin expansion. The terminal growth rate is assumed to be at 3.5%.

Bear Case (Price Target +12 Month: \$449.11):

Estimates (In Millions) Bear Case	2024A	2025E	2026E	2027E	2028E	2029E
Revenue (Estimate)	\$3,209	\$3,395	\$3,724	\$4,013	\$4,295	\$4,547
Operating Ratio % (Estimate)	84.8%	86.4%	84.5%	82.3%	81.7%	80.4%
EBIT Margin (Estimate)	15.2%	13.7%	15.6%	17.7%	18.3%	19.7%
IC Turns (Average IC - Estimate)	1.46	1.21	1.19	1.19	1.19	1.22
Tonnage (Estimate)	6.04	6.36	6.69	7.07	7.44	7.74
LTL Revenue Per Hundredweight (Estimate)	\$25.91	\$25.98	\$27.06	\$27.57	\$28.05	\$28.53

The Bear case assumes a revenue growth CAGR of 7.2% over the next five years, with the EBIT margin improvement of 4.4% over the same period. More customer attrition is modeled, with IC turns improving slightly eventually creating headwinds for ROIC. The investments in terminals could falter, as the freight industry remains highly competitive, resulting in higher pricing pressure tonnage and shipment becoming somewhat stagnate. The Bear case also takes into consideration the continuation of just-in-time inventory management system, which will lead to higher influx of the so-called retail freight putting pressure on pricing and margins.

Recommendation: Buy

Price Target: \$548.20

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NASDAQ: SAIA

February 08, 2025

Risk:

The investments in terminals could falter, given that SAIA has acquired many of Yellow's terminals and market share. The new home for the freight might be temporary, as some customers may prioritize pricing over service quality. Additionally, the increased headcount could create margin headwinds as customer attrition rises.

Given SAIA's service quality and terminal network, SAIA may struggle to leverage pricing power. Given the elevated capital investments in its people and terminal network, SAIA clearly provides high-quality service. However, this service and higher pricing pressure from other LTL carriers might prevent SAIA from capitalizing on higher pricing levels.

Finally, FedEx's spinoff of its LTL segment could further intensify competition in the industry, creating pricing and margin headwinds.